S&P Capital IQ

CONTENTS

CALL PARTICIPANTS 2
PRESENTATION 3
QUESTION AND ANSWER 6

Grupo Bimbo, S.A.B. de C.V. BMV:BIMBO A

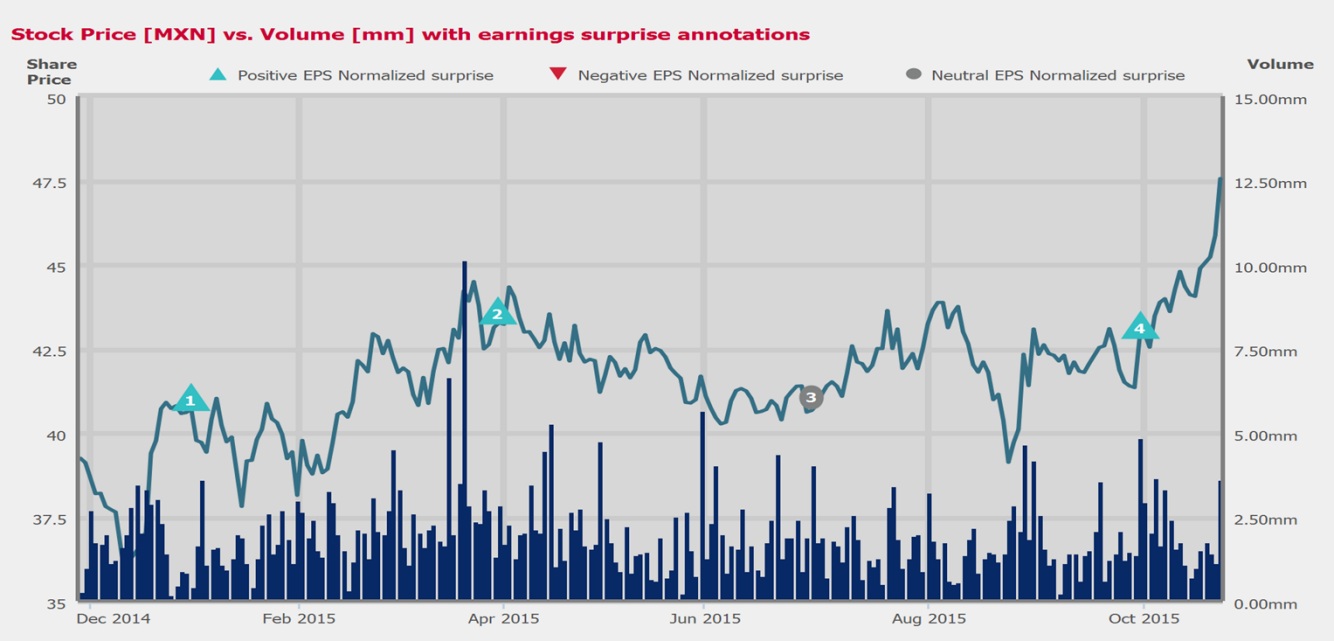
FY 2015 Earnings Call Transcripts

Friday, February 26, 2016 4:00 PM GMT

S&P Capital IQ Estimates

	-FQ4 2015-			-FQ1 2016-			
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	SURPRISE	CONSENSUS	
EPS Normalized	0.42	0.06	▼(85.71 %)	0.41	▲16.00	1.49	
Revenue (mm)	58549.33	59518.86	▲1.66	55066.48	▼(0.59 %)	218028.85	

Currency: MXN
Consensus as of Feb-26-2016 11:01 AM GMT



COPYRIGHT © 2017, S&P CAPITAL IQ, A PART OF MCGRAW HILL FINANCIAL.

Call Participants

EXECUTIVES

Alfred Penny
President of Bimbo Bakeries USA Inc

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Steve Mollick

ANALYSTS

Alexander Reid Robarts
Citigroup Inc, Research Division

Chelsea Konsko

Fernando Ferreira
BofA Merrill Lynch, Research Division

Filippe Goossens

Jeronimo De Guzman
Morgan Stanley, Research Division

José Juan Yordán
Deutsche Bank AG, Research Division

Lauren Elaine Torres
UBS Investment Bank, Research Division

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

Luis Miranda Valenzuela
Santander Investment Securities Inc., Research Division

Pedro Leduc
JP Morgan Chase & Co, Research Division

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Presentation

Operator

Good morning, everyone, and welcome to Grupo Bimbo's year-end results conference call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com. Before we begin, I would like to remind you that this call is being recorded and that the information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Good morning, everyone, and thank you for joining us today. As usual, I am here with our CFO, Guillermo Quiroz; BBU's President, Fred Penny; and several members of our Finance and Investor Relations team.

This was a good year for Grupo Bimbo. We celebrated our 70th anniversary, which was an opportunity to embrace the entrepreneurial spirit of our founders that still drive us today. We extended our long track record of growth and deepened our bonds with consumers. In fact, there are now generations who have grown up with our brands, creating emotional connections that continue to propel our performance. We've had healthy double-digit gains across the P&L in 2015, benefited from lower raw material and energy costs in some countries and from our risk management policies.

In addition, we made solid progress on our strategic initiatives, with actions that included: new supply chain, which generated savings of around $200 million in the year; global procurement, with savings of approximately $90 million; coupled with new global sustainability policies in palm oil and cage-free eggs; the move to zero-based budgeting, which is starting to be implemented in some Mexican business units; health and wellness, where we reformulated our recipes and drove innovation with successful product launches across our geographies; community and lifestyle initiatives, like the first Global Energy race and our ongoing sponsorship of Futbolito Bimbo, among others; and last but not least, advocacy and support for the COP21 global climate change agreement.

In terms of regional performance, starting with Mexico, 2015 was a very good year, with a top line growth of almost 6%, primarily driven by volume gains of over 4% that reflected improved consumer confidence and growth in all channels, but more specifically in the modern one.

Furthermore, there were a number of successful launches and cross-market product introductions in the year, like Levisimo healthy snacks; the Lime Chip's; Artesano bread born in Colombia; and Nature's Harvest bread originally from the U.S. Performance was notable in the Oroweat, SANISSIMO, Bimbo and Marinela brands. And although the sweet baked goods and confectionary categories remain soft, the snack category had a strong year, confirming a positive trend in the market, and our ability to meet consumer demand for tasty, convenient and differentiated options.

Adjusted EBITDA margin reached a record 17.6% in Mexico this year. This is attributable to distribution and manufacturing efficiencies. As any potential benefit from lower raw material cost, in dollars, was completely offset by the higher FX rate.

Moving on to North America. Net sales were up about 30% for the year, mostly on the back of a stronger U.S. dollar and acquisitions made in past periods. Keep in mind, this region included an extra sales week in the fourth quarter. In the United States, sales in dollar terms grew, as our first half price actions and price optimization initiatives more than offset volume declines.

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Based on market data, specific to the fourth quarter, category consumption was consistent with recent trends. In addition, based on a 12-week rolling data, even after pricing initiatives implemented at the beginning of the year, we have been able to gradually improve our share in the mainstream category by 0.6 points. We are encouraged by our recent performance and are committed to pursuing further opportunities in our pricing and trade strategies.

We are pleased that our family of brands is resonating with consumers in every category where we complete. Most notably, we're experiencing positive performance in the Sara Lee sliced bread brand, in part, due to the successful launch of Sara Lee Artesano. This delicious product should be available nationally by the end of next week. And I hope you enjoy it as much as I do. In addition, our premium bread brands' trends are improving, with double-digit growth for our unique whole grain Nature's Harvest lines, the Ball Park brand and positive results with expansion of our Eureka! organic bread into new markets.

Ultimately, innovation and investment in our stronger brands have, and will, enable us to limit the volume pressure from pricing initiatives, while supporting increased profitability.

Volumes in the other part of our business, like snacks, breakfast and our newest and high-growth frozen bread business, did well in the year. We also had healthy results in the Marinela brand; double-digit gains at Little Bites, which is one of our success stories; and strong sales of our Thomas' brand. The bigger picture here is that we have spent the past 4 years integrating 2 of the U.S. industry's major players. Now as a single restructured and aligned entity in terms of systems, assets and people, we can redirect our strategic focus on driving growth and productivity, as I will explain shortly.

Going north of the border into Canada, volumes increased slightly, most notably in the mainstream category, with product reformulations, like Canada's softest white bread and the Campagnard brand in Québec, which is tapping into the fresh and artisan trend.

Tortillas sales continue to grow, and we launched our unique Salmas Baked Corn Crisps. I should note that the migration of Canada Breads' ERP system is progressing according to plan.

As for operating performance in North America, lower raw material costs, a more efficient cost structure and lower restructuring charges in the U.S. more than offset expenses for the aforementioned systems integration process in Canada. This led to a significant 73% rise in adjusted EBITDA and a 210 basis point expansion in the margin.

In Latin America, sales rose almost 11%, with a combination of organic growth and currency translation benefits. As you know, the situation varies from country-to-country. In Brazil, economic conditions were, and are, tough. But we were able to grow volumes and market share due to the increased client penetration and product innovation like Magdalena's [ph] low-cost bread and whole wheat beef nagas [ph].

In our manufacturing and distribution, we generated savings with the closure of 2 plants and 5 sales centers. In Argentina, despite some operational challenges, we were successful in driving top line growth, most notably in the tortillas and buns categories.

Venezuela remains extremely, extremely challenging from a sourcing and economic perspective. For the region as a whole, notwithstanding sales growth and lower average raw material costs, operating performance in the year came under pressure from IT investments, integrated -- integration-related expenses and asset transformation costs.

Continuing with Europe, growth in the year was attributable to the U.K. operation and FX rate benefit. Iberia sales were under pressure, particularly in the bread category during the back half of the year, when private label producers increased competitive pressures by cutting prices. We're transforming the asset base, closing a plant in Palma de Mallorca on one hand, and incurring incremental costs for the state-of-the-art facility that opened in Guadalajara in the other.

As for the Panrico acquisitions, acquisition authorizations are still pending.

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Going to the balance sheet, we closed the year at 2.9x total debt-to-adjusted EBITDA, despite a lot of FX volatility, compared to the year end 2014 figure of 3.2x. The rise in our total debt position was primarily due to the 17% revaluation of the U.S. dollar against the Mexican peso, which increased the Mexican peso value of U.S. dollar-denominated debt.

Now I want to share some of the specific initiatives we will be addressing in 2016. In Mexico, we expect a challenging year, with the impact of a stronger U.S. dollar on a significant part of our raw material costs. Thus, our focus will be on optimizing and automating certain manufacturing processes, leveraging our scale in distribution by increasing visits per day, improving our performance in the sweet baked goods category, and further boosting our snack offering platform.

In North America, and in the U.S. specifically, our priorities will be growth -- or we will be investing and growing strategic brands, such as Entenmann's Little Bites, Thomas', Sara Lee, Ball Park and Nature's Harvest, to name a few. Along with brand investment, we will keep looking for opportunities to improve trade promotional effectiveness and creating a world-class D&D [ph] operation by leveraging technology and standardizing our processes.

Our second priority will be productivity. Where we will advance the supply chain transformation and focus on eliminating waste across our entire cost structure. In Canada, we're betting on quality over price, as we're doing in the U.S. We will also optimize the trade promotion. We believe there is a big opportunity to offer consumers innovative products through our well-positioned brands.

In the case of our frozen business, in North America, we will focus on driving growth via new products and innovation under the existing brands as well as adding new capabilities in manufacturing to further our market presence and stay at the forefront of these growing categories.

In Latin America, our attention will be on business and operational excellence, including lean manufacturing, market penetration and route efficiency. In Europe, we will concentrate on productivity and innovation across our family of brands to boost volumes. Overall, we have budgeted approximately $650 million of CapEx for the year, which will be allocated across all regions to advance our low cost production targets. The majority of investment will go to manufacturing and the remainder to distribution.
This concludes my remarks this morning. Let me add that I hope to see you all here in Mexico City on May 27 -- 25. We will be hosting our Bimbo Day with the purpose of meeting with all of you and chatting more about our plans and where the company will be headed in the coming years. We're now ready for the Q&A session.

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Question and Answer

Operator

[Operator Instructions] The first question comes from Fernando Ferreira with Merrill Lynch.

Fernando Ferreira
BofA Merrill Lynch, Research Division

I have 2 questions, actually. First one, on Bimbo U.S., if you could talk a little bit about the organic sales trends in the quarter? And also how do you feel about your profitability level going forward? We've seen a gradual improvement, right, over the last few quarters. So if you feel that you'll be able to reach a level above your 10% to 11% goal before than expected. So that will be my first question. And then second, in Mexico, just wanted to get a big picture sense how do you feel about the key variables for this year? In one hand, you have higher cost inflation, right, because of the weaker currency and the low inflation generally in the country. So I wanted to get some perspectives about how do you feel about your price/mix, the potential cost savings that you have still in the system and also some potential impact on profitability.

Alfred Penny
President of Bimbo Bakeries USA Inc

Fernando -- sorry, Daniel, go ahead.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Go ahead on the U.S., and I'll then talk about Mexico. No problem.

Alfred Penny
President of Bimbo Bakeries USA Inc

Sure. Fernando, thanks for the question. First, on organic. For us, it's a relatively small business with our Eureka! brand, but it is one that we're expanding into additional markets. We've done some of that this year, and we'll continue to do that. In terms of profit growth, I certainly can expect us to continue to improve our profitability in our margins. I wouldn't want to be too specific about timing as to when we might get to our stated longer-term goals. But clearly you'll seen good progress I think this year from us. And you should expect continued progress next year as well with the initiatives we have under way.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Okay. On the Mexico -- on the Mexican side, I mean as you have seen by the growth data, in general the economy is doing well. We still see strength in consumer disposable income, employment. And we expect a year of similar growth of the economy and the industry. I have to say that we had favorable wins in commodities last year. And we are now experiencing basically the brunt of the FX. And the prices in the commodity market, in general, although lower than other years, are similar -- are getting to be similar to what we got last year. So the tailwinds in that regard are over. And from now on, it's mostly productivity improvements where we will be focusing on. We don't expect a huge surge of demand. So it's going to be, I would say, a more stable year on both sides. And the big issue here is FX, which is something that we cannot forecast or control, as you very well know.

Operator

Our next question is from Luca Cipiccia with Goldman Sachs.

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Just a follow-up, actually, on Fernando's questions. Maybe in Mexico, considering where we are today with FX and input costs as well, I don't know if you could share, ballpark, the type of margin direction we should see in 2016? I assume that a fairly predictable, given the demand environment, pricing strategy. But at this level, I was wondering if you could give us some direction on the type of gross margin impact or contraction that we should expect for 2016? And how much of that may be compensated at the operating level? And then a quick follow-up on the U.S., I think you mentioned before optimizing trade budgets. I think maybe that was referred to Canada. But I was hoping you could expand a little bit on that front. I think it's quite a debated topic now among the food companies also in the U.S. So I don't know if you can give us some reference on where you stand on those strategies? Where do you see the opportunities? What is the level of savings that maybe you could get there from optimizing trade budgets?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, Luca, in general, I would say that in Mexico, we try to hedge not only the futures of the commodities but also to compensate for what we can also on the FX of -- impact of those commodities. And we're trying to do our best, but the situation is volatile. So from the margin standpoint, I mean, we don't offer guidance. But what I would say is that we're trying to have the best of the year in terms of volume growth and reasonably maintain our costs as controlled as we can with the initiatives to further our penetration, our market leadership. On the trade optimization side, just a general comment. I think that this is an opportunity for us. I don't know about the rest of the market. And we're trying to be more disciplined and more structured, more thorough than what we were in the past. And it's, I would say, an initiative that I am very encouraged about its prospect in the future. But I would like to let Fred to give more color on it.

Alfred Penny
President of Bimbo Bakeries USA Inc

Thanks, Daniel. Luca, yes, for us trade optimization -- pricing and trade optimization is really -- I guess it started now well over a year ago as a major strategic focus for us, as it needed to be. I talked in prior calls on the fact that we moved pricing earlier in the year, both front line and from a promotional price standpoint. And we stayed focused on that throughout the year and into the fourth quarter. As an example, in the fourth quarter, our pricing was on average in the bread category up 5%, ahead of the category overall and consistent with where we were in the prior quarter. And we're remaining focused on trying to not just hold, but to the extent that we can find opportunities to improve our price realization, we'll do it. Having said that, we also need to compete. And I think the trick here is to -- is for us to compete effectively and smartly with promotions that are from -- based on good sound analytics are the most effective ones. And so that's really what we're focused on, and we'll continue to focus on that going forward.

Operator

The next question comes from Lauren Torres with UBS.

Lauren Elaine Torres
UBS Investment Bank, Research Division

I guess to Fred, if we could just stay on the U.S. for a moment. And you talked about pricing plans. So I was just curious, as we're 2 months into the year, if you could give us some commentary on what you're seeing from a competitive standpoint? If your actions are being followed? And if that's not the case, I don't know if there is a response to that, as you think about kind of holding market share and maybe skewing more to value added. I mean, how does that work for you, as you think through the peer [ph]?

Alfred Penny
President of Bimbo Bakeries USA Inc

Well, I don't really want to comment, specifically, on what may or may not be happening in the market. I'm certainly quite willing to talk about where we are. And I think our trends in the first -- I guess it's 7 weeks of the year now or so are consistent with -- from a price standpoint, with where we exited the year.

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Our top line is actually a bit better, as reflected in our share improvements. And as I said to Luca, to the extent that we can find additional opportunities, we're certainly looking for them, and we will take them.

Lauren Elaine Torres
UBS Investment Bank, Research Division

Okay. And then, I guess, as a follow-up to that, as far as just input costs, commodities, packaging, we're hearing from some companies some pressure going into this year. I mean, outside of the currency discussion, the actual cost of some of your input costs, have you seen them change? Or are they changing?

Alfred Penny
President of Bimbo Bakeries USA Inc

Are you asking that specific to North America or from a GB standpoint, Lauren?

Lauren Elaine Torres
UBS Investment Bank, Research Division

Yes, I mean it could be a broader question, but I guess, first, the U.S. if that's the case.

Alfred Penny
President of Bimbo Bakeries USA Inc

Well, I -- we'll stay -- I'm comfortable with where we are in terms of our input costs. We're within our hedging policy. We stay within our hedging policy. And I think we have good visibility to where our input costs are. And I think they'll be largely to our benefit in -- as we head into '16.

Operator

The next question is from Jeronimo De Guzman with Morgan Stanley.

Jeronimo De Guzman
Morgan Stanley, Research Division

I wanted to follow up on Mexico, first. I wanted to see if you could give us any color on how much pricing you may have already taken to offset some of these FX pressures? If you see an opportunity to kind of accelerate some of the pricing increases, given that you continue to see a stronger competitive environment.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, Jeronimo, I would say that we've been very cautious about our price increases. And we have just basically been doing very minor increases. And we will try to limit the impact of the FX as possible and reflect those additional costs as little as we can. We have seen the recovery of volume, but the market is sensitive. So we will be basically cautious about price increases.

Jeronimo De Guzman
Morgan Stanley, Research Division

Okay. And moving on to Europe, I just wanted to see if you have any update on kind of how that competitive environment is evolving as you start the year? Are you still seeing that pressure from the private label? And how you see that unfolding going forward? And then also, on Europe, just if there is -- it seems like the Panrico approvals have been taking longer than expected. So is there any additional color on what could be the reason for the delays?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. We're still working our way through all the regulatory process in Spain and Portugal. So that's -- we're working on that, and it's certainly taking longer than we expected. But we remain optimistic about

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

that deal. On Europe, in general, I would say that the whole market, it's very competitive, U.K. and Iberia. The effect of the discounters, it's putting pressure in the whole market. And we are competing with private label offerings in the different markets. We're strengthening our innovation pipeline. We have started with new products that are quite differentiated in the market. And we also are facing these effects of additional costs of -- one is trimming our production processes in the -- especially in the Spanish market. And on the other hand, also the start-up costs of the Guadalajara plant. So it's not been a good year for us in Iberia, specifically. It's been a tough year on the volume side and pricing side. And also, we had extra costs to all the initiatives that we implemented in the year. We are addressing them. But I remain cautious about the -- sort of the change in the trends, at least, for the next 3 quarters. So we're working away, but the competitive situation in the bread business is very tough.

Operator

The next question is from Alex Robarts with Citibank.

Alexander Reid Robarts
Citigroup Inc, Research Division

My first one, just want to go back to the sales growth in the U.S. that we saw in the fourth quarter. You mentioned a 5% price increase. I'm not sure if that was -- if you could comment a little bit on if that was a broad kind of portfolio-based increase. Was it sweet bread? Was it packaged? How are you seeing it stick? If there's any commentary around that. And it seems like a big magnitude. And I kind of wanted to understand what was the thinking behind that. And the final piece of this 4Q sales question is the calendar effect. I mean, it seemed like there was a calendar effect that helped sales, and if you could comment around that impact? So that's the first question.

Alfred Penny
President of Bimbo Bakeries USA Inc

Alex, I'm going to have Steve Mollick, our CFO, comment on the 53rd week, the calendar effect. And I'll give you some more color on our pricing.

Steve Mollick

Alex, yes, there was an additional week in the fourth quarter. It was a holiday week. The sales were lower than average for that week. Reported sales were, for North America, 5.5% year-over-year. And normalizing for the 53rd week, it would be relatively flat. Our sales would be flat. And there's no material impact to the margin rate as a result of the 53rd week.

Alfred Penny
President of Bimbo Bakeries USA Inc

So let me comment on the 5% pricing. That is largely sliced bread, Alex, in terms of which category specifically it was. That's not equal across all of our categories, because the competitive sets are different, the dynamics are different. But in bread, that's the number. And it's largely held. Having said that, because we started that pricing movement earlier in the year, we saw some volume and share erosion in the first half of the year. And that moderated as we went into the second half and as we exited Q4. Frankly, we've seen -- specifically in some of our stronger brands, such as Sara Lee, we've seen actually positive volume and revenue momentum coming out of the year.

Alexander Reid Robarts
Citigroup Inc, Research Division

Okay, fair enough. That is helpful. Listen, the second question again is on the U.S., and I just wanted to get it kind of clear from you guys as we think about, we're at the end of February. What do you feel is a reasonable number for us to think about as far as restructuring optimization type of nonrecurring charges this year? And I can appreciate that in the course of the year, projects might present themselves, like Canada IT, for instance. But if you could kind of just give us a range officially what you're thinking about this year for U.S. and Canada, restructuring/optimization expenses? And that's my second question.

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Alfred Penny
President of Bimbo Bakeries USA Inc

Alex -- Daniel, I'll take that for the U.S. For the U.S. operation, we were down substantially, as you well know, on restructuring charges this year. I expect we will be lower again in 2016. I wouldn't want to give specific guidance, because to your very point, to the extent that we were looking for additional opportunities that might present themselves that would lower our cost base going forward, make us more efficient. If we find them, and they're good projects, we'll execute them. But I'm comfortable with the fact that we will be lower on restructuring again in '16 over '15.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

In Canada, the bulk of the restructuring charges were last year. We still expect a part of the restructuring charges and the implementation of the IT ERP in the first semester of this year. So that will be sort of the last leg of the integration charges.

Operator

The next question comes from Chelsea Konsko with TIAA. It appears Chelsea inadvertently disconnected. Our next question will be from Luis Miranda with Santander.

Luis Miranda Valenzuela
Santander Investment Securities Inc., Research Division

Daniel, this is a follow-up on Mexico for 2016. When you take a look at the good performance of volume in 2015, with what you're seeing right now and with the pricing strategy that you just mentioned about being really cautious, do you believe that we could still see this momentum in volume throughout the year? And the second question is within the categories. The weakness we have seen in sweet baked goods, has it been due to more focus of management in other categories? Or it has been really due to the resizing of some products? Or are you seeing some medium-term consumer -- changes in consumer patterns?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. Our focus in Mexico will be, basically, on volume. That's our #1 priority and, hopefully, to get it in all categories. So the push for growth for being very competitive and very shrewd in building or strengthening our innovation pipeline is there. And that's sort of the first mandate of the Mexican division. On the second side, I would say that the sweet baked goods suffered 2 years ago, category-wise. This past year, it was mostly pause [ph]. And we're talking sweet baked goods category. It's the retail sweet baked goods business, the in-store sweet baked goods business. So it's -- I'm not talking only packaged sweet baked goods. It's the whole market. And that one rebounded. And I would say that our strategies didn't do -- didn't have an effect as we planned. So we are reorganizing our strategy on the sweet baked goods in Mexico to get back on a positive trend. And it -- that's still in the works. So I cannot sound so save [ph] here. But that's where we're seeing it. It's more us than the whole market.

Operator

The next question comes from José Yordán with Deutsche Bank.

José Juan Yordán
Deutsche Bank AG, Research Division

My first question was answered. But I wanted to ask you if you could give a little more color on the $2.2 billion of noncash asset write-downs during the year? And if you could address a little more what the current situation is with the MEPPs in the U.S., that would be great.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

So yes -- no, he knows...

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Guillermo Quiroz is answering this question. Our CFO.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

José, you know me, right?

José Juan Yordán
Deutsche Bank AG, Research Division

Yes.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Okay. Okay, now going back to your question, basically half of the charge was related to goodwill impairments. Basically I would say that -- well, I personally consider my responsibility to continually review the fair value of our intangible assets in the balance sheet. So this is an exercise that we are -- that we do every year in conjunction with our auditors. And basically, in the half was -- which was about MXN 1 billion, included Brazil, Argentina and China. And so I would say that the performance there hasn't been the performance we were expecting. For this exercise, we'll make new projections that, on one side, reflect the new difficulties in the economic environment of those 3 countries. And for the other side, we also review the calculation of the cost of capital related to those investments. So in order to -- as I was saying before, in order to have our balance sheet as truthful as possible, we decided to cut the value of our -- or to reduce the value of our book value of those investments. And that was half. The other half is basically divided in 2 parts, 1 is brand. Our marketing strategy in each country worked continuously, and then some of the specific brands that are not -- and are performing as expected to perform -- as was expected. So we took haircuts, basically, in the U.S. with these brands, Argentina and China. And the rest was related to fixed assets. We decided this year, with the same purpose of maintaining our balance sheet as truthful as possible to make an count review of all the machinery, vehicles and -- all over the world to see if they were all in shape, if they were all really producing the way that we -- what they were supposed to be producing. And so we decided this is in -- this includes all the system, we decided to take an additional haircut of $400 million. So those 3 are the 3 tranches that build the $2 billion charge.

José Juan Yordán
Deutsche Bank AG, Research Division

Okay. And yes, then, just I'd be curious on what the current outlook is for the MEPPs in the U.S.? Any expected additional exits from any of those plans? And, in general, how you feel about this potential liability?

Steve Mollick

So, José, relative to the Multiemployer Pension Plans in the U.S., as we've indicated in previous calls, we participate in 32 MEPPs. And we have about 50% of our overall contingent withdrawal liability either contractual or a provision for it. There is no major material changes in our overall withdrawal, contingent withdrawal liability. There's no plans to trigger a withdrawal liability. The only thing I will add is there were -- there was a legislation that was enacted December of 2014 called MEPRA, that we're continuing to evaluate, that could help us to manage the risk even more effectively. But it will not increase our risk.

José Juan Yordán
Deutsche Bank AG, Research Division

Okay, great. And then, if I can ask a follow-up about the U.S. I mean, there's been some of these class action lawsuits affecting some of your competitors, regarding the issue with independent operators, et cetera. I mean, given that you guys have roughly 2/3 of independent operators as well, why do you think this isn't impacting you yet? And do you see a potential for that to be an issue with BBU as well?

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Alfred Penny
President of Bimbo Bakeries USA Inc

Steve did such a good job on the MEPPs question. I'm going to let him take this one as well, José.

Steve Mollick

So, José, I'm not going to comment about any others in the industry. But the reclassification issue is not a new one for us. And yes, about 2/3 of our routes are IO, independent operators. Our sales and legal team, we work hard every day to make certain that we're treating our independent operators or independent contractors as independent contractors. And we work hard to ensure that the IOs are successful entrepreneurs. And successful IOs are less likely to challenge their classification.

Operator

[Operator Instructions] The next question is from Chelsea Konsko with TIAA.

Chelsea Konsko

I just had a couple of technical questions, which hopefully weren't answered while I was disconnected. The first one is you mentioned in the press release a nonrecurring pension cash out in the U.S. Can you just explain what this is related to? How much it is? And if that was included in the EBITDA calculation? And then my second question is just how much do you have still available and undrawn of the $2 billion RCF?

Steve Mollick

Yes, Chelsea. So the nonrecurring charge was -- in the release was referencing a 2014 charge. So we're cycling that charge. And it was north of $100 million in 2014. So it was favorability in our '15 results. And of the $2 billion, about 50% of that is either provision or contractually -- a contractual agreement at this point.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes, and regarding your second question, Chelsea. I don't know if I got it right, but I think you were asking about the revolving line of credit. The size of it is $2 billion and right now, we have used about 5% of those.

Chelsea Konsko

Okay. And I'm sorry, just on the pension cash out that affected -- that was in the 2014 charge. Was that included in the EBITDA calculation for 2014? Or was that outside of EBITDA?

Steve Mollick

So, Chelsea, the pension cash out. That is part of our EBITDA calculation. Yes, it was favorable in the fourth quarter of '15. And it's related to a voluntary lump sum offer that we gave to our vested term associates within our company-sponsored pension plan.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Chelsea, just a clarification there. The actual payment for the cash out came from the independent funds. So that's actually -- it didn't come from the company funds. So what we had in our resources, just the present value of the future benefits of that action. But really, the payment, we fund -- I think it was close to $100 million came directly from the fund and not from the company resources.

Chelsea Konsko

Okay. I'm just trying to understand if some of the EBITDA growth that we saw in the U.S. then was a result of this kind of one-off item. That's what I'm trying to get at here.

Guillermo Jorge Quiroz Abed

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Chief Administration & Financial Officer and Member of Advisory Board

Okay.

Operator

Our next question will be from Filippe Goossens with MUFG.

Filippe Goossens

I have a 2-part question for Guillermo, if I may.

The first one is, Guillermo, can you kind of refresh our minds in terms of how you holistically look at additional M&A opportunities, particularly in Europe, I guess, as compared to further deleveraging the balance sheet? And then secondly, kind of within the context of deleveraging the balance sheet, it has been now almost 2 years since Moody's changed the outlook on your rating to negative from stable, following the acquisition of Canada Bread. But when I look at what it would take for that outlook to be stabilized, I kind of find 3 -- kind of 3 points. One is successful integration of Canada Bread, which I think you have done. Two, continue to generate positive free cash flow, which I think you continue to do. And three, deleveraging back the balance sheet, which I think you continue to do as well. So any update in terms of when you believe that Moody's might again stabilize your rating?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Well, just, regarding your first question, I would say that, as I know, the only investment that we are foreseeing for Europe is the one already announced, right? That is the Panrico investment that Daniel was mentioning before. We still don't have a clear view on when it's going to be closed. Nothing of importance is considered additionally to that, just from reading our budget. And the second part, what I can tell you is that we have been in contact with Moody's. I understand that Moody's is going to produce their annual report as close to next week, but we don't have access to see to what their conclusion is going to be. So we are working with them. And I understand we have to tried to tell them our results and financial situation and still talking. But they will be making some communication next week. I don't know exactly what they are going to say.

Operator

The next question is from Pedro Leduc with JPMorgan.

Pedro Leduc
JP Morgan Chase & Co, Research Division

Just a quick question on your income tax rate, in the sort of outlook remains quite high. No? So any sort of actions or expectations we should have for the year ahead? And then, finally, on the impairment charges that ended up polluting bottom line here, you explained it well. But we would like to hear if it's definite? Or there is potentially more to go on those?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Okay. Yes. The first part regarding the tax rate, let me tell you what I used to mention here within the company. I find it hard to talk about the tax rate, because we make a comparison in the company and we show it to the board. What is the other -- the other change we have comparable to our standard 30% rate. And we have, as you know, close to MXN 1 billion of additional taxes. But I cannot talk about percentage, because the percentage calculates those MXN 1 million to the profit after taxes. And so the base is continually moving. So I would rather speak about this $1 billion of extra provision for taxes that we had last year. Just to make a brief comment, those MXN 1 billion was the higher fee or the one we had in 2014. But as the pretax profit grew a lot, the percentage rate shows a decline. Now I couldn't -- I expect -- what we expect here is that this negative impact will be lower, because we are expecting to have much better results in the companies that were not performing quite well in the past year. So an important

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

part of that impact comes from the fact that we have decided that we are not creating deferred -- profit is deferred taxes regarding to the losses in those companies. So if those losses are reduced, the impact of the taxes will be much lower. And the second part, in -- no. There, as I was saying before, we made the deep analysis of our -- of all of our intangible -- of the value of our intangible assets. And we didn't -- well, we proceed with every adjustment we thought was necessary. And I don't expect to have more intangible growth during the year. If some of the companies that still hold goodwill for -- goodwill mainly, do not perform properly, we will have some. But I just don't expect to have any more surprises this year for the 2016 year.

Operator

Ladies and gentlemen, this concludes the question-and-answer section. At this time, I would like to turn the floor back to Mr. Daniel Servitje for any closing remarks.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Thank you, Chad, and thank you all for your time today. Please do not hesitate to contact us with any further comments or questions you may have. And we look forward to see -- to speaking with you soon.

Operator
Thank you, sir. This concludes today's presentation. You may disconnect your lines at this time, and have a nice weekend. Take care.

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

The information in the transcripts ("Content") are provided for internal business purposes and should not be used to assemble or create a database. The Content is based on collection and policies governing audio to text conversion for readable "Transcript" content and all accompanying derived products that is proprietary to Capital IQ and its Third Party Content Providers.
The provision of the Content is without any obligation on the part of Capital IQ, Inc. or its third party content providers to review such or any liability or responsibility arising out of your use thereof. Capital IQ does not guarantee or make any representation or warranty, either express or implied, as to the accuracy, validity, timeliness, completeness or continued availability of any Content and shall not be liable for any errors, delays, or actions taken in reliance on information. The Content is not intended to provide tax, legal, insurance or investment advice, and nothing in the Content should be construed as an offer to sell, a solicitation of an offer to buy, or a recommendation for any security by Capital IQ or any third party. In addition, the Content speaks only as of the date issued and is based on conference calls that may contain projections of other forward-looking statements. You should not rely on the Content as expressing Capital IQ's opinion or as representing current information. Capital IQ has not undertaken, and do not undertake any duty to update the Content or otherwise advise you of changes in the Content.
THE CONTENT IS PROVIDED "AS IS" AND "AS AVAILABLE" WITHOUT WARRANTY OF ANY KIND. USE OF THE CONTENT IS AT THE USERS OWN RISK. IN NO EVENT SHALL CAPITAL IQ BE LIABLE FOR ANY DECISION MADE OR ACTION OR INACTION TAKEN IN RELIANCE ON ANY CONTENT, INCLUDING THIRD-PARTY CONTENT. CAPITAL IQ FURTHER EXPLICITLY DISCLAIMS, ANY WARRANTY OF ANY KIND, WHETHER EXPRESS OR IMPLIED, INCLUDING WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE AND NON-INFRINGEMENT. CAPITAL IQ, SUPPLIERS OF THIRD-PARTY CONTENT AND ANY OTHER THIRD PARTY WORKING WITH CAPITAL IQ SHALL NOT BE RESPONSIBLE OR LIABLE, DIRECTLY OR INDIRECTLY, FOR ANY DAMAGES OR LOSS (INCLUDING DIRECT, INDIRECT, INCIDENTAL, CONSEQUENTIAL AND ANY AND ALL OTHER FORMS OF DAMAGES OR LOSSES REGARDLESS OF THE FORM OF THE ACTION OR THE BASIS OF THE CLAIM) CAUSED OR ALLEGED TO BE CAUSED IN CONNECTION WITH YOUR USE OF THE CONTENT WHETHER OR NOT FORESEEABLE, EVEN IF CAPITAL IQ OR ANY OF THE SUPPLIERS OF THIRD-PARTY CONTENT OR OTHER THIRD PARTIES WORKING WITH CAPITAL IQ IN CONNECTION WITH THE CONTENT HAS BEEN ADVISED OF THE POSSIBILITY OR LIKELIHOOD OF SUCH DAMAGES.
© 2017 Capital IQ, Inc.

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.